# Creating Communities Through Coffee

*Win globally by bridging local franchise expertise with a localized, loyalty-led customer experience*






Vision Consulting

# **Executive Summary |** Blenz should expand its operations in Malaysia through partnering with MarryBrown

**Question**

Where should Blenz expand geographically, and how can it enter and scale in that market while preserving its brand identity, integrating locally, and achieving sustainable long-term growth

**Solution**

## Bridge

Identifying franchisee with operational fit to navigate cultural and regulatory barriers while maintaining brand identity

## Bloom

Enhancing the customer journey and experience from discovery to belonging with localized menu and in app-based loyalty

**KPIs**

| **$492K** | **3.85x** | **$308K** |
|---|---|---|
| in Revenue by Year 5 | ROI | NPV |

**Situation |** Blenz needs to prioritize locations that not only have a strong coffee drinking culture, but also strong operators who can execute on Blenz's story

Goal: Deliver high-quality, handcrafted beverages while fostering a sense of community



### Handcrafted Product Excellence & Innovation

Blenz focuses on using natural ingredients and handcrafted preparation **instead of push button automation**



### Community Centered Experience

Franchise owners and employees are trained to prioritize interaction and **behave like homeowners hosting guests**



### Strong Local Adaption

Blenz **adapts menus and offerings to local tastes**, allowing Blenz to expand internationally without losing authenticity

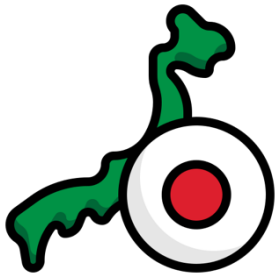


### Brand Credibility

Blenz has credibility as Canda's largest third-wave coffee chain, giving the brand **legitimacy** when entering new premium markets

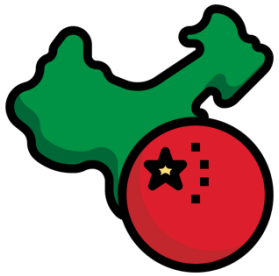
Blenz needs to prioritize locations that not only have a **strong coffee drinking culture**, but also **strong operators who can execute on Blenz's story**

# Struggles with Previous Expansions



## Japan

- Covid 19 led to sharp drops in foot traffic
- Severe supply chain disruptions



## China

- Major legal and contractual misunderstandings
- Cultural gaps



## Philippines

- Over reliance on a single partner
- Lack of succession plan after losing partner



## United Arab Emirates

- Franchise partners lost focus due to competing priorities
- Operational and cultural complexity

Blenz should expand only into regions where **cultural fit**, **legal clarity**, and **high-quality local partners** jointly support sustainable execution.

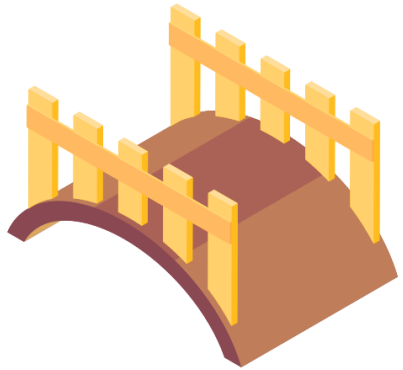
**Situation |** Blenz should expand into Malaysia due to the region's high reliability of operators, strong cultural alignment, and growing demand for premium coffee

| | Malaysia | Singapore | South Korea | Japan | Australia |
|---|---|---|---|---|---|
| Reliability of Operators | 🟢 | 🟢 | 🟡 | 🟢 | 🟡 |
| Brand & Cultural Alignment | 🟢 | 🟡 | 🟢 | 🟢 | 🟢 |
| Legal & Regulatory Clarity | 🟢 | 🟢 | 🟡 | 🟢 | 🟢 |
| Market Growth & Coffee Demand | 🟢 | 🟡 | 🟢 | 🟡 | 🟡 |
| Cost & Financial Feasibility | 🟢 | 🔴 | 🟡 | 🔴 | 🔴 |

Malaysia's strong pool of **experienced, multi-unit franchise operators**, **cultural alignment**, and **growing demand for premium coffee** makes it the best geographical choice for Blenz to expand its operations

## **Situation |** Blenz's next steps are to understand how they can begin expanding in Malaysia







### Malaysia

Expand into Malaysia

### Bridge

Identifying franchisee with operational fit to navigate cultural and regulatory barriers while maintaining brand identity

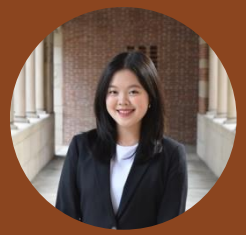
### Bloom

Enhancing the customer journey and experience from discovery to belonging with localized menu and app-based loyalty

01

## Bridge

Identifying franchisee with operational fit to navigate cultural and regulatory barriers while maintaining brand identity



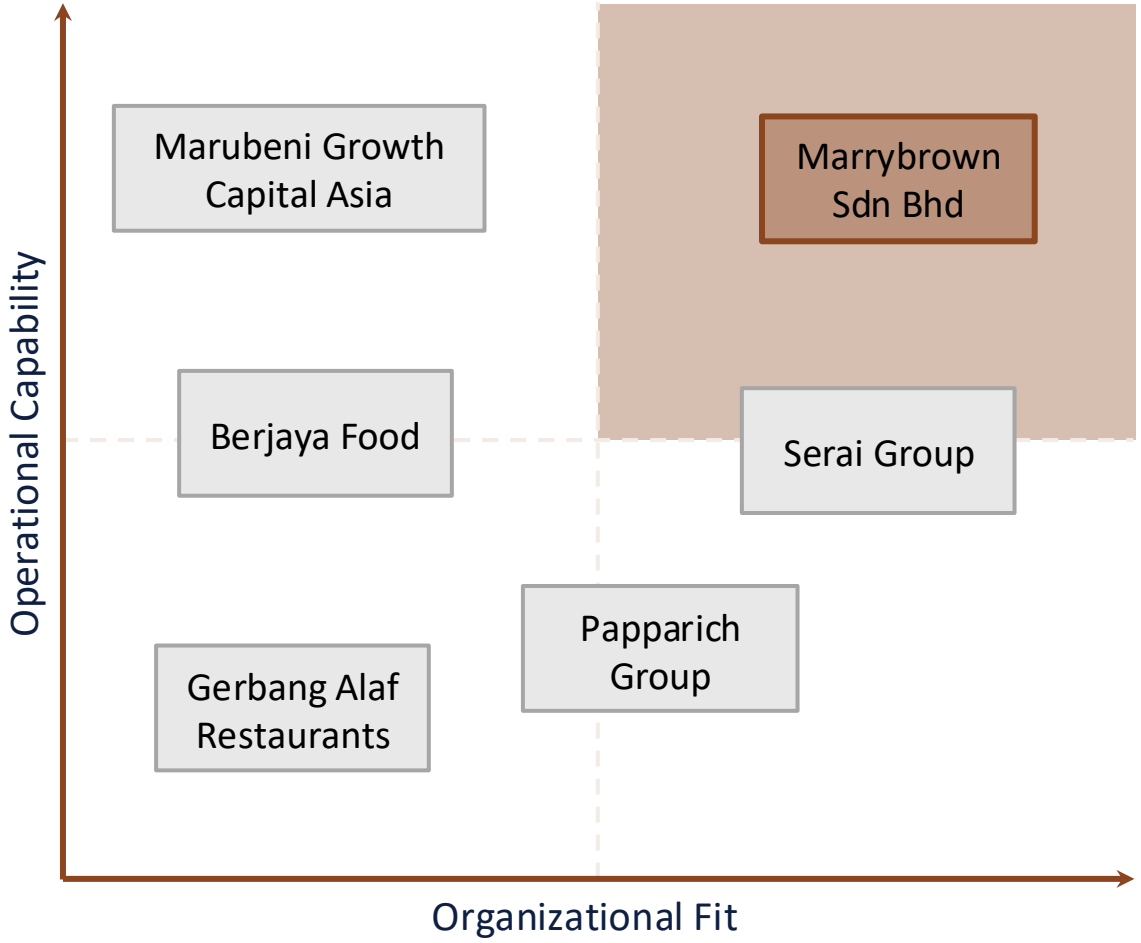
02

## Bloom

Enhancing the customer journey and experience from discovery to belonging with localized menu and app-based loyalty

# **Bridge** | Blenz Coffee should look for franchise partners based on community alignment, franchise maturity, and local expertise

## Candidate Operators




## Metrics Considered for Candidates

### Organizational Fit

Does not currently have a café, especially a premium café, under their portfolio

Fits the community-based concept of Blenz Coffee

### Operational Capability

Mature franchise system, experience as franchisor or franchisee

Ability to navigate Halal regulations in the supply chain as well as operations

# **Bridge** | Blenz Coffee should look for franchise partners based on community alignment, franchise maturity, and local expertise

## Marrybrown As the Franchisee

Marrybrown's scale (500+ outlets), franchise maturity, and lack of coffee exposure create perfect conditions for Blenz to become their premium café platform

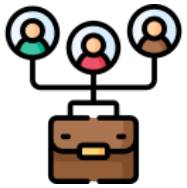
### Incentives for Marrybrown

**Portfolio Diversification**



Diversification across dayparts and price tiers

**Daytime Revenue**



Chicken peaks lunch/ dinner; Blenz fills morning

**Proven Concept**



Blenz's 30-year track record + signature drinks

### Strategic Advantages of Marrybrown

1. **Proven Franchise System**
   Experience as an operator with 500+ stores across 16 countries



2. **No Partner Distractions**
   No café conflicts so Blenz becomes their premium daytime platform



3. **Halal Expertise**
   Provides pre-certified supply chain and consumer trust in 60% Muslim market



4. **Mall Dominance**
   JAKIM certification is mandatory for prime mall locations with high traffic



*Source: US Embassy in Malaysia*

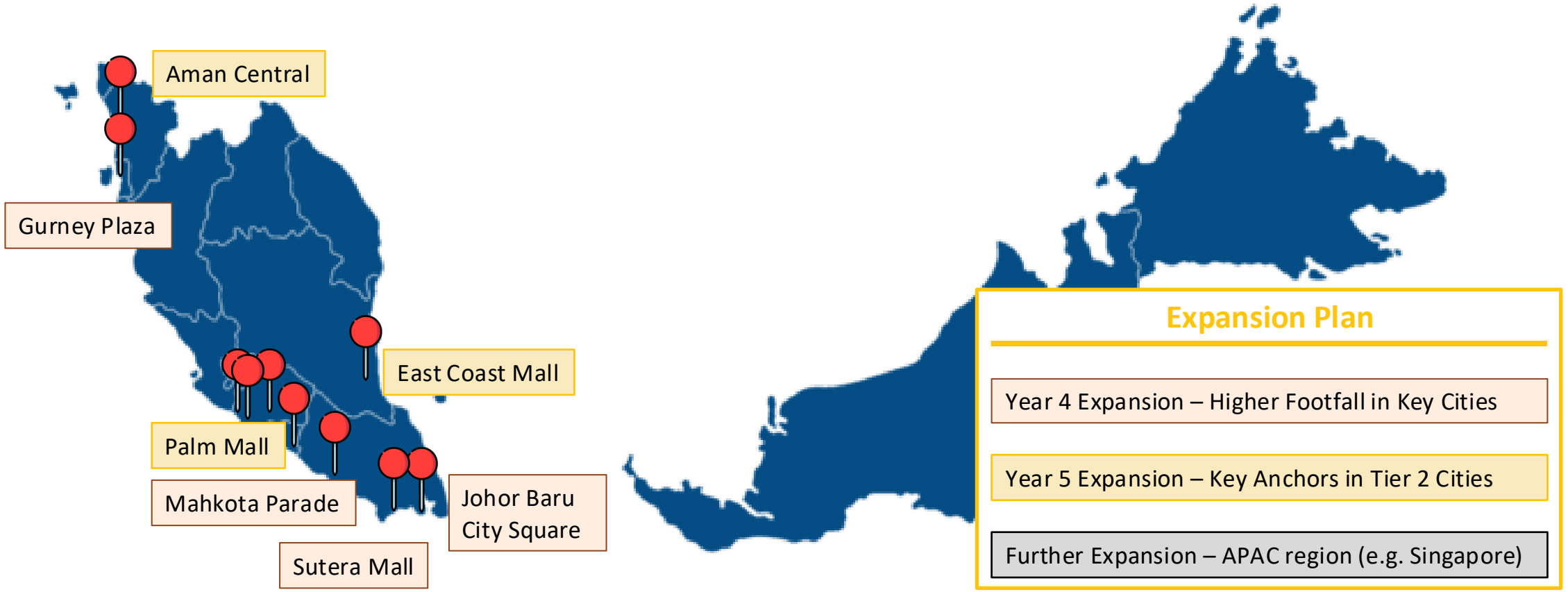
# **Bridge** | Through 3 pilot locations in Kuala Lumpur, Blenz Coffee can establish a comprehensive operating manual while lowering the risk of expansion

## 3 Pilot Locations in Malaysia




| | Location | Demographics | Customer Fit |
|---|---|---|---|
| 1 | KLCC | Tourists & Office Workers | Corporate meetings and airport proximity |
| 2 | Pavilion KL | Luxury Shoppers | Affluent shoppers willing to pay RM18+ for specialty drinks |
| 3 | Sunway Pyramid | Youth & Families | Gen Z/young families, students, suburban professionals |

## Further Expansion



01

## Bridge

Identifying franchisee with operational fit to navigate cultural and regulatory barriers while maintaining brand identity

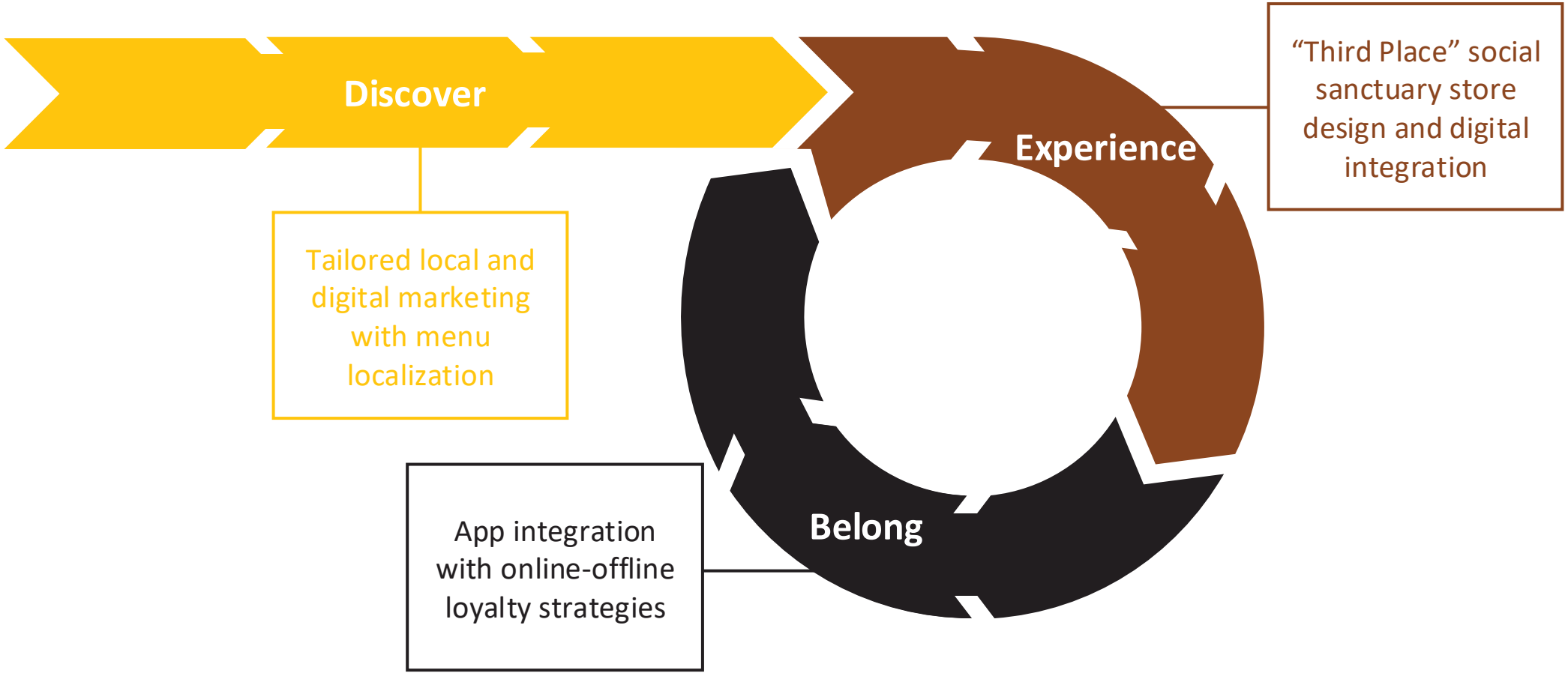
02

## Bloom

Enhancing the customer journey and experience from discovery to belonging with new flavors and app-based loyalty



## **Bloom** | Malay customers will interact with Blenz via a 3-step process



# Bloom | Adequate brand communication with communicating with customers and culturally adaptive exclusive menu items will help Blenz attract Malay customers

## Discover

### Brand Communication



Position Blenz as human alternative to highlight “Maker’s Mark”



Content marketing for farm-to-table origin stories that resonates with customers



Authentic partnerships with relatable micro-influencers and local cultural icons

### Menu Localization




**Gula Melaka Latte**




**Pandan MatchaChillo**

**1 Local Ingredients**

Use locally sourced ingredients for unique flavors

**2 Diet-Friendly**

Halal-compliant for the 60% Muslim population[1]

**3 Revamped Classics**

Retain brand with elevated classic menu

*Source: [1]HKDTC Research*

# **Bloom |** Blenz should utilize a hybrid layout with interactive barista bars and atmosphwere to create a familial environment

## Experience




**1**

**Hybrid Layouts**

Quiet remote work corners and communal neighborhood tables to create social hubs

**2**

**Open Barista Bar**

Customizable drinks by baristas reinforce brand's quality and education

**3**

**Multi-Sensory Lighting**

Use curated acoustic and lighting strategies to create warm, familial environment

# Bloom | Enhancing Blenz's current mobile app with online ordering and gamified features will help Blenz communicate its values with customers

## Experience

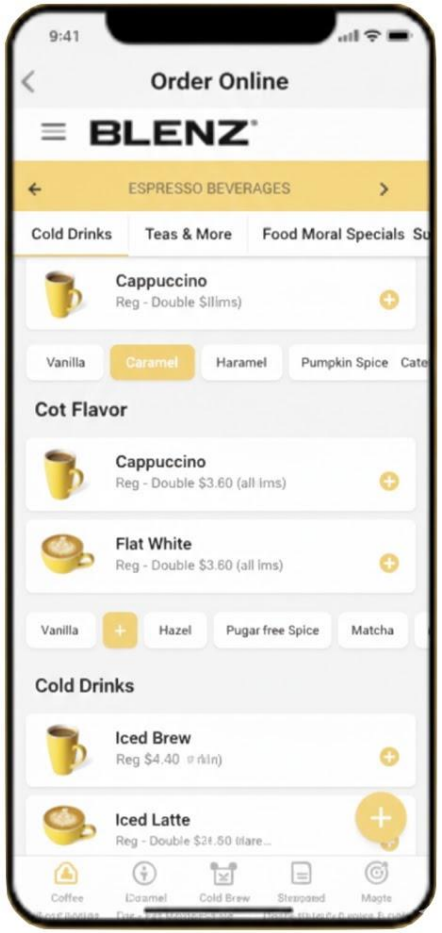
### Order Online

**Online Order Growth**
Online food service value growing 70% YoY[1]

**E-Wallet Usage**
Preference for digital order methods and payment[2]

**Competition**
Chains excel in technology compared to independents[3]

**Brand Consistency**
Existing infrastructure means no additional costs



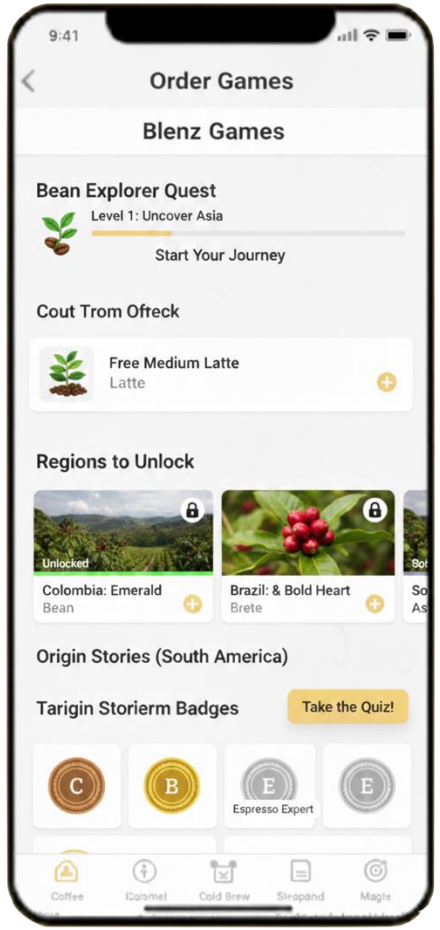

### Blenz Games

**Education**
Educates users on sustainability information

**Value Alignment**
Serves Blenz community with long-term value

**Blenz Cares Integration**
Integrate existing social cause work into education

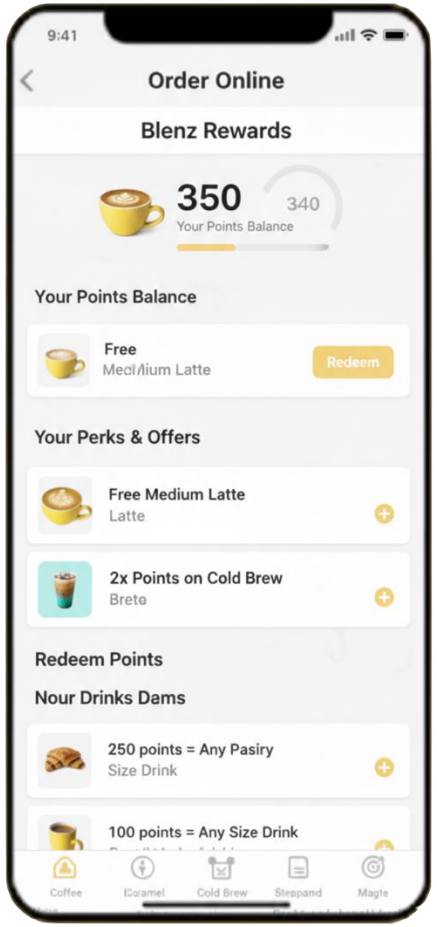
**Gamification**
Encourages younger customer engagement[4]




*Source: [1]Agriculture Canada, [2]Yahoo Finance, [3]Mordor Intelligence, [4]Yahoo Finance*

# Bloom | Expanding Blenz Rewards awith points, perks, and exclusive offers help create a curated community and encourages engagement

## Belong




Carrying over Blenz's existing loyalty rewards program will help drive loyalty while differentiating from local competitors.

### Features

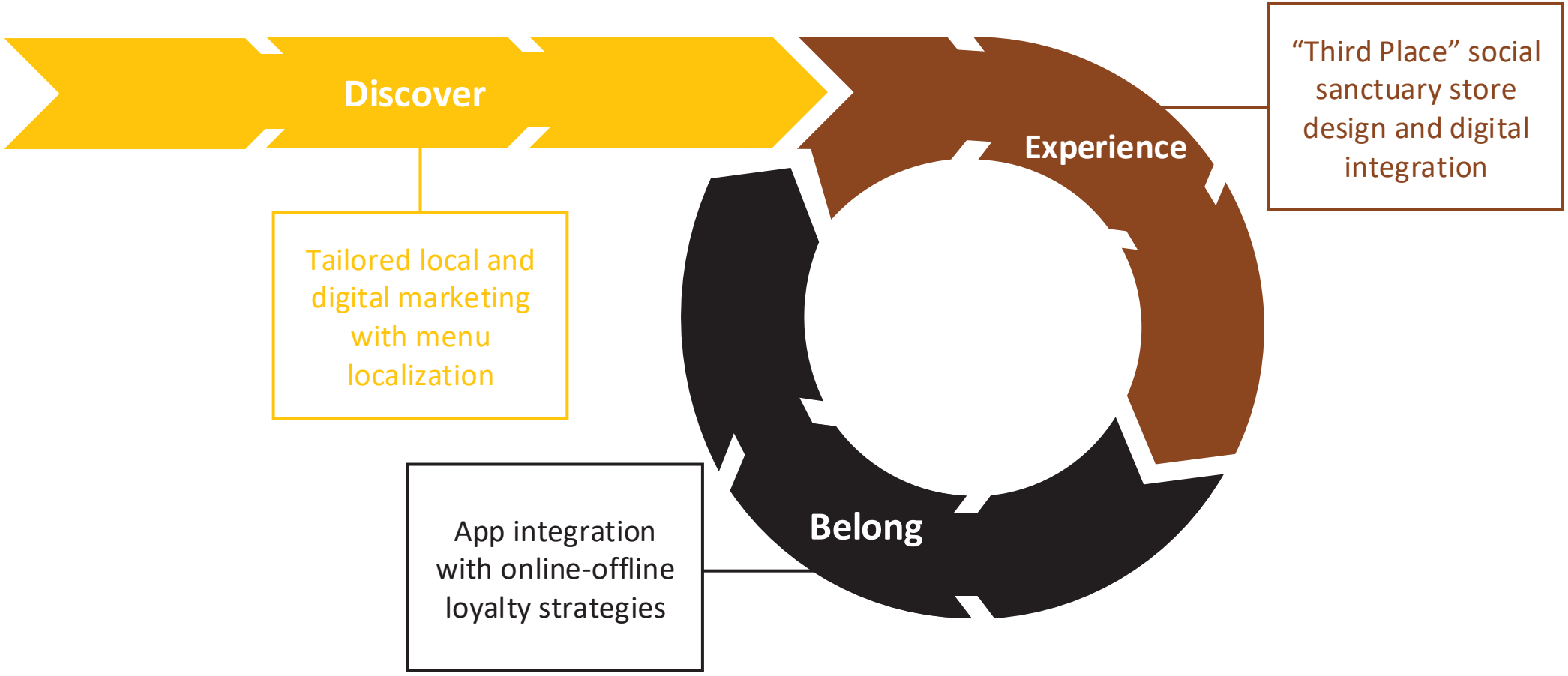
1. **Reward Points**
   Redeem free drinks earned by dollars spent in store
2. **Exclusive Perks & Offers**
   Birthday, holiday, or free day coupons and rewards
3. **Omnichannel Integration**
   Connect offline multi-person experiences with online points

### Goals

- Drive loyalty for repeating customers and improve customer connection[1]
- Differentiate from mainstream competitors such as Zus Coffee[2]
- Allow capture of real-time customer data to drive product preferences

*Source: [1]Yahoo Finance, [2]Bloom Intelligence*

# **Bloom** | Malay customers will interact with Blenz via a 3-step process



# 04

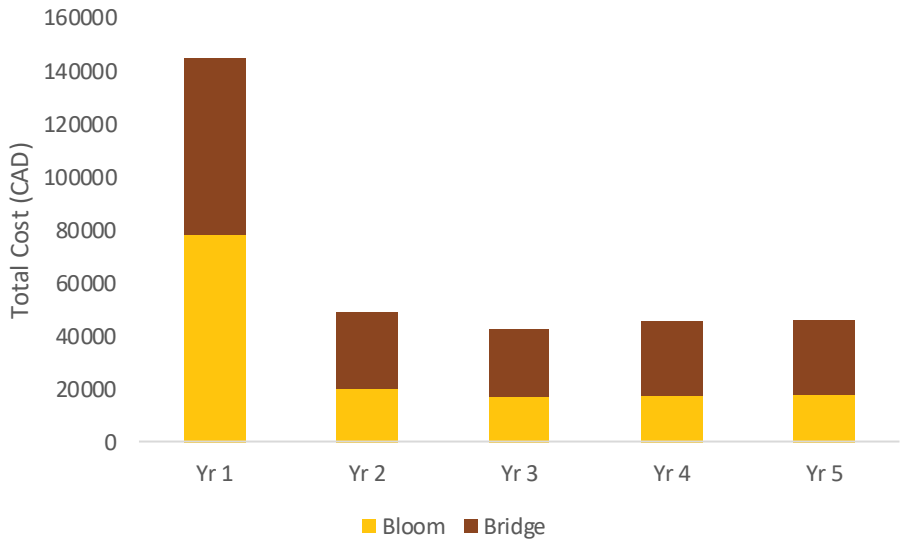
# Impact

What are the financial impacts?



# **Impact |** Implementing the BridgeBloom strategy requires an initial investment of $150K CAD

## Projected Costs




## Key Assumptions

**2.35%** Inflation Rate

**30%** of original setup costs reflected in Y2

## Bloom

Legal Costs

Operations Manual Development

Pitch Materials

## Bridge

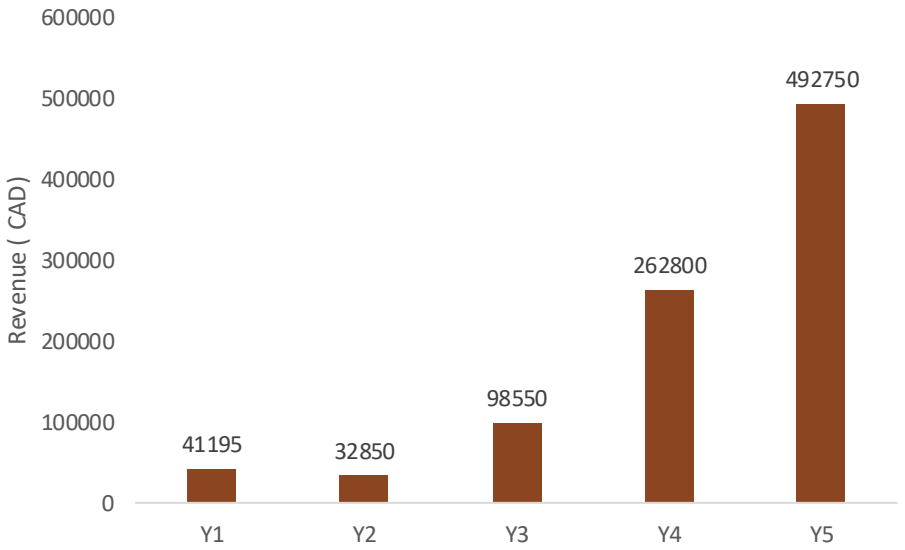
Marketing Costs

R&D for New Flavors

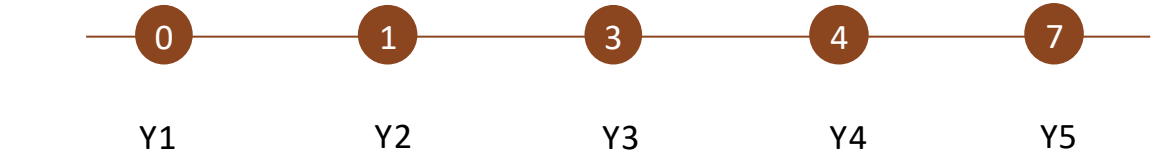
Technology Integration

# **Impact |** Implementing the BridgeBloom strategy has a projected revenue generation of $928K CAD across 5 years

## Total 5 Year Revenue




## New Café Expansion Timeline




# of new cafés

## Key Drivers

**41K** Y1 Franchising Fee

**250** customers per day

**$6** cost of coffee

**$821K** Total Annual Revenue generated from each store

**4%** Franchise Royalty Rate

# **Impact |** To track the success of the BridgeBloom strategy, Blenz Coffee should track these key metrics

## Financial KPIs

### 5Y Revenue

**$492K**

By Y5 from royalties accounting for all 10 stores

### ROI

**3.85x**

Accounting for implementation costs in Y1

### NPV

**$308K**

For 5-year expansion plan

## Café Metrics

### Cafes Opened

**15**

In 5 years in different spots within Malaysia

### Cups sold

**1.3M+**

By Year 5 with all 15 stores running in Malaysia

# **Impact |** Our strategic approach accounts for potential risks and proposes mitigations for a complete strategy

| | | | |
|---|---|---|---|
| **Situation** | Unable to partner with MarryBrown | Inability to maintain connections with Malaysian partners oversees | Potential Cannibalization |
| **Probabilities** | Low | Moderate | Moderate |
| **Impacts** | High | High | High |
| **Plan** | Shift focus to partner with alternative major franchisors such as Serai Group | Ensure quarterly meetings with Malaysian franchisors and review of Ops Manual for brand alignment | Ensure specific instructions are in Operations Manual for radius to ensure café's are spread throughout the 3 hotspots identified |

## Immediate Next Steps

Contact Legal Support and Make Adjustments to Ops Manual for International Expansion

Make connections with MarryBrown to start conversations about franchise partnership

Develop Advertising Materials to bring Awareness of Blenz Expansion into Malaysia

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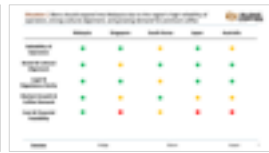
**KPIs**

| **$492K** | **3.85x** | **$308K** |
|---|---|---|
| in Revenue by Year 5 | ROI | NPV |




































# Estimated Cost to Franchise Your Business

The estimated cost to franchise your business ranges from **$26,000 to $84,500**. This covers everything required to go from where you are today — a business owner ready to expand — to becoming a franchisor who is legally authorized to offer and sell franchises.

(Legal Costs) Franchise Disclosure Document Development: $15K – 45K (USD); Assume 25K since already have franchise disclosure plan from Canada franchising and adjust to CAD→ $33750 CAD
Ops Manual International Expansion: Between $0-$30K, Assume 15K USD and adjust to $20250 CAD since already Ops manual developed for Canadian franchising
Pitch Materials: Between $7500-$1500, assume lower end of $7500 USD and adjust to $10125 CAD since already franchised in Canada
Sales and Advertising: $20K USD → converted to $27K CAD

https://www.franchiselawsolutions.com/learn/how-to-franchise/franchising-costs

| **Beverage Development** | 1500 per bev | | |
|---|---|---|---|
| **Year** | **Units** | **Total** | **Total Adjusted for Inflation** |
| 1 | 3 | 6075 | 6075 |
| 2 | 5 | 10125 | 10362.9375 |
| 3 | 5 | 10125 | 10362.9375 |
| 4 | 6 | 12150 | 12150 |
| 5 | 6 | 12150 | 12150 |

https://www.bevindustry.com/articles/83213-beverage-r-d-2010-new-product-development-survey

# Appendix | Cost Build

| Cost Build | Yr 1 | Yr 2 | Yr 3 | Yr 4 | Yr 5 | |
|---|---|---|---|---|---|---|
| *Bloom* | | | | | | |
| Legal Costs | 47250 | 14175 | 11813 | 12091 | 12377 | |
| Ops Manual International Exp | 20250 | 6075 | 5063 | 5182 | 5304 | |
| Pitch Materials | 10125 | 0 | 0 | 0 | 0 | |
| Total | 77625 | 20250 | 16875 | 17273 | 17681 | |
| | | | | | | |
| *Bridge* | | | | | | |
| Marketing Costs | 40500 | 12150 | 10125 | 10363 | 10606 | |
| Flavor R&D | 6075 | 10125 | 10363 | 12150 | 12150 | |
| Technology Integration | 20250 | 6075 | 5063 | 5181 | 5303 | |
| Total | 66825 | 28350 | 25550 | 27694 | 28060 | |
| Misc cost | 5000 | 5118 | 5238 | 5361 | 5487 | |
| **Total Cost** | **149450** | **53718** | **47663** | **50329** | **51227** | |
| | | | | | | **352387** |
| Cost Assumptions | | | | | | |
| Yr 1 | Based on Sources | | | | | |
| Yr 2 | 30% of original yr 1 costs | | | | | |
| Yr 3 | 22% of original yr 1 costs | | | | | |
| Yr 4-5 | Adjust for canadian inflation rate of 2.35% | | | | | |

# Appendix | Revenue Build

| Revenue | Yr 1 | Yr 2 | Yr 3 | Yr 4 | Yr 5 |
|---|---|---|---|---|---|
| Initial Franchising Liscensing Fee | 41195 | | | | |
| Number of New Stores | 0 | 1 | 3 | 4 | 7 |
| Total Stores | 0 | 1 | 3 | 8 | 15 |
| Store Rev | 0 | 821250 | 2463750 | 6570000 | 12318750 |
| Royalties (4%) | | 32850 | 98550 | 262800 | 492750 |
| **Total Revenue** | **41195** | **32850** | **98550** | **262800** | **492750** |
| | | | | | **928145** |

| Store Revenue Generation | |
|---|---|
| Number of Customers | 250 |
| Cups per cust | 1.5 |
| Price per cup | 6 |
| Daily Rev | 2250 |
| Yearly Rev | 821250 |

| Cups of Coffee Sold | | | | | |
|---|---|---|---|---|---|
| | Yr 1 | Yr 2 | Yr 3 | Yr 4 | Yr 5 |
| | 0 | 136875 | 410625 | 958125 | 1368750 |
| | | | | | 2874375 |

| NPV Calculation | Yr 1 | Yr 2 | Yr 3 | Yr 4 | Yr 5 |
|---|---|---|---|---|---|
| Cash Flow | -108255.00 | -20867.50 | 50886.80 | 212471.50 | 441522.57 |
| Discount Rate | 0.12 | | | | |
| **NPV** | 308489.77 | | | | |
| **ROI** | 3.85 | | | | |

| Franchises | Capital Required | Franchise Fee | Royalties |
|---|---|---|---|
| Boost Juice | RM250,000 – RM350,000 | RM65,000 | 6% |
| McDonald's | RM1,500,000 – RM3,500,000 | RM215,100.00 | 5% |
| Marrybrown | RM800,000 – RM1,000,000 | RM120,000 | 4% of gross sales |

**Priority 1: SERAI GROUP (Lotteria Malaysia operator)**
- 30-store commitment capacity
- Recent Korean QSR success
- No coffee conflict

**Priority 2: PAPPARICH GROUP**
- 100+ domestic cafés
- Franchise experience
- Mall relationships

**Priority 3: GERBANG ALAF RESTAURANTS**
- Multi-brand operator
- Scale + capital
- Backup execution capacity

| Rank | Operator | Current Coffee Brands | Store Capacity | Strengths | Risks | Status |
|---|---|---|---|---|---|---|
| 1 | **Marrybrown Sdn Bhd** | **None** | **20-40 stores** | 500+ store franchise machine, halal expertise, mall dominance, 45yr Malaysia execution | Never run foreign brand | **Top Priority** |
| 2 | **Serai Group Sdn Bhd** | **None** | **10-20 stores** | Lotteria master franchisee, recent Korean QSR momentum | Smaller scale | **Strong Backup #1** |
| 3 | **PappaRich Group** | **PappaRich cafés** | **15-25 stores** | 100+ cafés, franchise experience, mall relationships | Café portfolio overlap | **Backup #2** |
| 4 | **Gerbang Alaf Restaurants** | **Unknown** | **20-30 stores** | Multi-brand operator, capital | Opaque coffee portfolio | **Tertiary** |
| 5 | **Marubeni Growth Capital Asia (Tim Hortons)** | **Tim Hortons** | **30+ stores** | Japanese corporate backing, SEA expansion experience | **Tim Hortons conflict**, foreign operator | **Avoid** |

**Problem:**

- Students had to queue physically, which caused congestion, long waiting times, and occasional order errors or skipped orders in the kitchen sequence

**Solution:**

- Web-based ordering platform where students could browse the menu, add items to a cart, and submit orders from their phones or computers

**Results:**

- Significant reduced queuing and streamlined order processing, as orders went directly to the kitchen digitally
- Around **70% of users rated the ordering process at the highest satisfaction level**
- Researchers concluded that moving from manual ordering to online systems **improved convenience, efficiency, accuracy, and overall customer experience**



*Source: [1]Malaysian Journal of Computing*

1. **Progression**
   Fill passport page as you try new coffee flavors

2. **Rewards**
   Complete challenges to unlock rewards such as free drinks

3. **Education**
   Each stamp or page is accompanied by short notes on flavor, roast, and origin




Starbucks has a 44% customer retention rate compared to the industry average of 25% through their robust loyalty system

*Source: [1]Starbucks*

# Large amounts of franchisers and franchise quality in Malaysia

the franchise industry contributed over RM36 billion to Malaysia's Gross Domestic Product (GDP), highlighting the significant economic impact.

"Where the directly or indirectly, contribution of Franchise sector lists it as the main driver of Malaysia's economic growth," she said at the Malaysia International Franchise Conference 2024 held in Kuala Lumpur today.

Suriani said local franchise brands are not only economic drivers but also ambassadors of Malaysian entrepreneurship and culture on the global stage.

"Supporting them is not just a strategic move but a commitment in showcasing our country's innovation and heritage around the world," she said.

She added that the Enhanced Franchise Export Development Program (EFDP) initiative, is specifically designed to equip local brands with the tools and exposure needed to go international.

"EFDP is important in pushing Malaysian brands into the international spotlight as well as attracting foreign investment into the franchise ecosystem. The government's

https://www.mfa.org.my/malaysias-rm46-billion-franchise-industry-remains-a-critical-national-economy-component/

## 1. Is the system of law in your jurisdiction based on civil law, common law or something else?

The Malaysian legal system is based on the English common law system in which sources of law consist of legislation and case law precedents. Many Malaysian statutes draw upon equivalent legislation from common law counterparts, and English law continues to be strongly persuasive in cases argued in Malaysian courts. In addition, Malaysia has *Syariah* laws which are applicable only to Muslims in personal and religious matters.

https://www.wongpartners.com/-/media/minisites/wongpartners/files/publications/2025/legal-500_-malaysia_doing-business-in-guide.pdf?utm_source=chatgpt.com

## Coffee Market Size in Malaysia (2025)

The coffee industry in Malaysia is expected to reach **US $1.05 billion** in total revenue by the end of 2025.

- **US $839 million** comes from out-of-home consumption (cafes, restaurants, and events).
- **US $212 million** is generated through retail/home coffee purchases.
- **6.1% CAGR** projected growth until 2030.

*This shows a growing demand for coffee not just at home, but especially in cafes and social spaces.*

https://www.17grambeans.com.my/malaysias-coffee-metrics-2025/?utm_source=chatgpt.com

Understanding the role of coffee shops in Malaysia is important because these spaces are more than just places to drink coffee—they serve as vital community hubs where people connect, share ideas, and build relationships.

https://www.growkudos.com/publications/10.4018%252F978-1-6684-8253-7.ch018/reader?utm_source=chatgpt.com